

Consumer Health and Wellness

A Shift From Elective To Essential

July 2023



Table of Contents

	A New Way of Life	Pg 04
	From Global to Local: Exploring Global Consumer Wellness Trends and India's Adaptation	Pg 11
	Myths vs Reality	Pg 18
	M&A Deals	Pg 21
	Decade for Health and Wellness in India	Pg 24

Foreword



We, at Avendus, have always had a passion for the Consumer Health and Wellness space. These are exciting times for this industry as we witness gold-standard companies unlocking a juggernaut of undiscovered potential.

At the heart of this industry lies the consumer – people like you and me who are increasingly conscious of their health and wellbeing. Consumers today view wellness through a much broader and more sophisticated lens, encompassing not just fitness and nutrition, but also overall physical and mental health and wellness. It has evolved from being a one-time choice to becoming a way of life.

And this is not just a passing trend. The consumer health and wellness sector is poised for exponential growth, driven by rising health awareness and a growing focus on preventative care. It's interesting to see how India is adapting to global consumer wellness trends where clean is the new green and plant-based supplements are fast becoming popular. People are looking for solutions outside of capsules and are actively searching for specific ingredients that address their particular health concerns. Data and AI have changed the game and we are witnessing transformation at a rapid pace.

Recently, we held a Consumer Health and Wellness Conclave. We've been toying with the idea of doing this event for a while. The idea was to create a platform that would allow all of us the chance to have an open, private dialogue on the current status of the sector, emerging trends, challenges and the road ahead. We had industry veterans, young leaders from new-age companies, and marquee investors from private and public equity markets at the event. We have curated a white paper on this sector and enriched it with insights of our esteemed attendees.



Abha Agarwal

Managing Director, Co-head, Consumer,
Financial Institutions Group, & Business Services

A New Way of Life



The massive shift from “Elective” to “Essential”

In the wake of the unpredictable and disruptive nature of the COVID-19 pandemic, consumers are now more deliberate and conscious of their choices. The recent years have been a period of recalibration, reflection, and resilience, with consumers placing a premium on meaningful and purposeful living, health management, mental health and stability, social connection, environmental betterment, balance, and fulfilment.

However, this new perspective on health and wellness goes beyond the limited lens of diet culture, fitness fandoms, and niche health crazes. It has become a part of everyday choices, challenging the relevance of every consumer-packaged category that people choose to buy. Consumers are looking for wellness solutions that align with their preferences, lifestyles, and values.

Despite the increased emphasis on health and wellness, the costs of healthcare have risen continuously. Globally, spending on health (as a percentage of GDP) has hovered around 8.8% for the past decade, but this figure surged to

Spend on health globally (% of GDP)



9.9% in 2020. The rise in healthcare costs has made it even more critical for consumers to prioritize their health and make conscious decisions that support their overall well-being.

The events of recent years have led to a fundamental shift in consumers' attitudes towards health and wellness that has made it necessary for businesses to provide wellness solutions that are relevant and meaningful to consumers.

Consumers today view wellness through a much broader and more sophisticated lens, encompassing not just fitness and nutrition but also overall physical and mental health, and appearance. Today's consumers view wellness across five dimensions:

5 dimensions of consumer wellness



Prioritizing physical, emotional and mental health & wellbeing is an investment. For every dollar put towards health & wellness, nations reap the multiplier effect of a thriving society, and the economic output is a remarkable two to four dollars

Sanjiv Mehta, CEO & MD – Hindustan Unilever



Indian consumer health and wellness | The catalyzers (1/4)

In a McKinsey survey¹ of roughly **7,500** consumers in six countries, **79%** of respondents said they believe that wellness is important, and **42%** consider it a top priority. In fact, consumers in every market reported a substantial increase in the prioritization of wellness over the past two to three years.

Fundamental factors driving adoption of health and wellness choices in India

01. Increasing Digital Penetration and the rise of Ecommerce



Penetration of smartphones

The penetration of smartphones in India has increased from 20% in 2015 to 66% in 2022 and is expected to rise to 80%+ by 2026². This increased connectivity has improved access to a myriad of health and wellness resources to semi-rural consumers.



Expanding digital wave

The expanding digital wave has also led to new opportunities in the health and wellness market. Protein supplements, for example, are being marketed in various forms to appeal to the youth who are active digital users.



E-commerce's influence on wider reach

E-commerce has transformed the wellness industry by providing wider audiences greater geographical reach, and access to segments that were not traditionally catered to. As a result, online channels have become the preferred mode for purchasing supplements amongst Indian consumers.



From Online-only to Omnichannel

However, the online-only journey has evolved to include brick-and-mortar stores, resulting in the rise of omnichannel retail. Today, consumers can browse products online and purchase them offline, or vice versa, providing greater convenience and choice.

02. The D2C wave

India has more than 800 successful direct-to-consumer (D2C) brands³, many of which have played a crucial role in educating consumers about health and wellness. These companies have helped alter daily habits and encourage wellness as a routine rather than a one-time occurrence.

In recent years, Indian consumers have consumed vast amounts of content on the internet, including through social media platforms. D2C companies have been at the forefront of educating consumers through these channels, providing valuable information and insights on health and wellness.

HEALTHKART

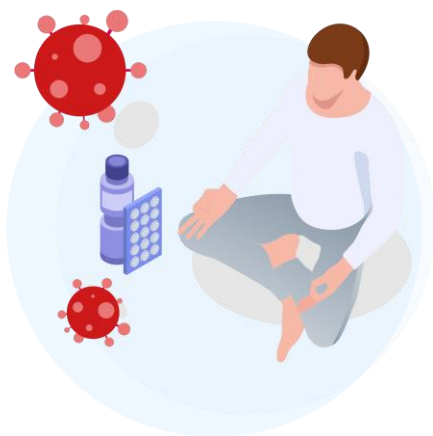
Case study

HealthKart is India's leading health and nutrition platform whose sales exploded from INR 55 Mn (FY12) to INR 5,500 Mn+ (FY22). Approximately 70% of HealthKart's sales come through online channels, including its own website and e-commerce platforms.

HealthKart has leveraged focused content and influencer marketing to scale its brands, targeting micro customer segments to drive growth. The company has identified multiple growth levers to reach a USD ~500 Mn+ D2C-led brands platform with attractive economics by FY27.

Indian consumer health and wellness | The catalyzers (2/4)

03. Pandemic | The Catalyst

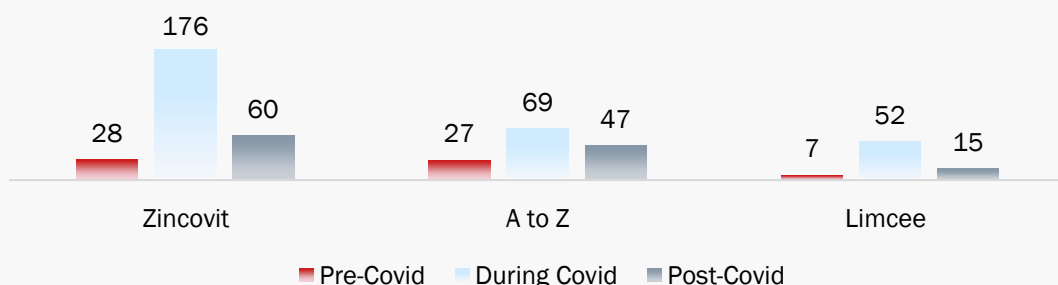


The COVID-19 pandemic has been a wake-up call for consumers to rethink their approach towards health and wellness. It has brought about a significant shift in mindset, leading to a more holistic approach to overall well-being. This newfound focus on wellness has led to an increase in sales of vitamins and supplements in India, which have more than doubled since the pre-COVID era.

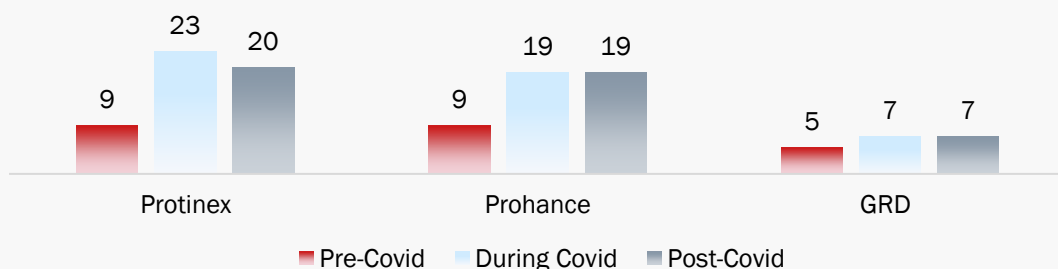
The pandemic has also brought to light the importance of immunity and overall health, leading consumers to prioritize wellness products and services more than ever. As per a survey, 40% of Indian respondents stated that they are willing to pay a premium for products promoting health and wellness, higher than their global counterparts at 29%¹. This reflects a significant perception shift in the Indian consumer, which is likely to sustain for a long time. With consumers becoming more aware of the importance of health and wellness, businesses in the industry are also evolving to cater to their changing needs.



Vitamins² (USD Mn)



Nutritional Supplements² (USD Mn)



The journey of consumers towards wellness/ healthier products is not something which happened only due to COVID. The realization has been setting in over the last five to ten years

Tarun Arora, CEO – Zydus Wellness



Indian consumer health and wellness | The catalyzers (3/4)

04. Customer Education



As the wellness industry gains prominence, educating consumers about the importance of leading a clean and holistic lifestyle has become a fundamental step. Companies are taking up this task by creating forums, running campaigns, and holding community-driven events to drive awareness and educate consumers.



Case study

OZiva is India's #1 digital-first plant-based consumer wellness brand, specializing in lifestyle protein, hair & beauty supplements, personal care, and women's health. With a strong focus on R&D and innovation, OZiva offers a science-backed product portfolio.

OZiva has been a pioneer in driving consumer awareness and education in India. With doctors and professionals on board, they provide multi-point customer education via blogs, videos, and social media.

Their latest campaign, #KindnessOverJudgement, aims to spread awareness about PCOS and other women's health issues. Earlier, #aBetterYou campaign promoted the idea that health and wellness is a way of life.

Oziva has crossed the INR 100 Cr ARR mark in 2021 and has entered a strategic partnership with HUL in Dec-22

With millennials and Gen-Z forming a large chunk of the new-age target market, companies are taking up topics that were previously considered taboo, such as menstrual health and sexual wellness.

rae

Global Case Study

Companies like **Rae Wellness** in the US are leading the way by passionately opening dialogues about important women's health topics that have been long neglected. Rae Wellness is committed to delivering high-quality supplements that are accessible to all women, regardless of their income levels. (Valued USD 60 Mn: Dec-20)



Stress and PMS

We have pulled together some easy steps to help support stress and its impact on PMS symptoms.

August 23, 2022

Smartphones and internet penetration have been the biggest catalysts in this process, enabling consumers to access information and purchase products from anywhere, anytime. E-commerce has emerged as the logistical backbone that bridges the gap between demand and supply. Consumers are increasingly turning to online channels to purchase health and wellness products, driven by a culture of ordering online for safety and convenience

“80% of our marketing budget goes towards customer education as we believe in category creation”

Ameve Sharma,
Founder – Kapiva



Indian consumer health and wellness | The catalyzers (4/4)

05. Rising lifestyle diseases

The rise of lifestyle diseases such as obesity, diabetes, hypertension, and heart diseases has been a major driver for the growth of the consumer wellness market globally. The sedentary lifestyle, unhealthy dietary habits, and stress have contributed to the increasing prevalence of these diseases. According to a report by the World Health Organization (WHO), chronic diseases such as cardiovascular diseases, diabetes, and cancer, are responsible for 71% of deaths globally. In India, the burden of lifestyle diseases is also significant. According to a report by the Indian Council of Medical Research

(ICMR), non-communicable diseases (NCDs) accounted for 61% of all deaths in the country in 2016, up from 37% in 1990.

People are becoming more conscious of their health and are actively pursuing preventive measures to maintain their well-being, which has led to a surge in demand for consumer wellness products. The market has witnessed the emergence of several players who have capitalized on this trend. For example, Fitbit and Fastrack offer products that track activity levels, heart rate, etc. to help users monitor their health.

06. Preventive healthcare to the fore

Over the last decade, preventive healthcare in India has gained momentum and now accounts for c.10% of overall healthcare expenditure¹. COVID has accelerated the self-engagement process to a significant level, and it has been interesting to witness this momentum last as the masses have moved to their habitual life choices at home and work.

Multiple players seized the opportunity to bring forth their version of preventive health all the way from targeted health monitoring (diabetes, cardiac health, etc.) to overall body diagnostics, ayurveda to nutritional supplements, yoga to calisthenics and everything in between.

The preventive ecosystem also benefitted as many of these products provided real time output monitoring like sugar levels, food consumption metrics (carbs, protein, vitamins, etc.) which triggered a desire to consistently improve.



Case Study

Ultrahuman is a metabolic fitness platform that helps customers improve their diet and exercise, with the help of glucose biomarkers and elite experts. The Ultrahuman sensor helps monitor blood sugar levels to optimize metabolic health and to quantify it with a metabolic score.

Started in 2019, the company recorded a revenue of INR 21 Mn in 2021.



Few companies offering preventive healthcare services



Few companies offering preventive healthcare products



Emerging forms of Wellness

Emerging Forms of Wellness

Along with the traditional forms of wellness products and services, there has been a surge in demand for new forms of consumer wellness. These include wellness tourism, rejuvenation therapy, and other forms of experiential wellness offerings. Consumers are increasingly looking for ways to incorporate wellness into

their lifestyles in a more holistic and immersive way, and these emerging forms of consumer wellness are meeting that demand. They also provide an opportunity for consumers to take a break from their busy lives and focus on their physical and mental well-being.

Wellness marketplaces

bring together a fragmented base of service providers or various wellness aggregators that offer customized solutions

Rejuvenation therapy

is a form of treatment to halt and alter the aging process while Alternate therapy refers to medical treatments that are not mainstream (e.g., Ayurvedic Health Centers)



Wellness tourism

is travel for the purpose of promoting health and well-being through physical, psychological, or spiritual activities

Wellness services

are addressing both physical and mental health needs (e.g., personal trainers, counselors)



Case study

Curefit is a health and fitness company offering digital and offline services. It has holistic health offerings across physical fitness and workouts, healthy food and mental well-being. The app provides workout classes across multiple formats, through the day, allowing users to choose the format at the time of their choice. Curefit also tracks performance and allows users to compete with others in real-time.

The company has grown from INR 50 Mn in revenue in FY17 to INR 3,100 Mn+ revenue in FY22. (Valued INR 100 Bn+: Dec-21)



A healthy nation makes a prosperous nation. Businesses have a vital role to play in ensuring good nutrition solutions backed by science are more accessible to people

Sanjiv Mehta, CEO & MD – Hindustan Unilever



From Global to Local: Exploring Global Consumer Wellness Trends and India's Adaptation



Global trends through the Indian lens

01. Clean is the New Green

Consumer demand for clean label and natural products is on the rise, with the majority of consumers interested and willing to pay more for products made with ingredients that are free of artificial flavors, dyes, and other additives. This trend is not just limited to one region or country. A global survey of 14,000+ customers across 30 countries found that a staggering 78% of customers said they would be willing to pay more for clean label and natural/organic products and ingredients despite inflation¹.

In response to this demand, companies are expected to migrate towards certified consumer health and wellness products that are labelled as organic, non-GMO, vegan, and gluten-free. This demand for accuracy in information and labeling is expected to grow over time, as consumers become more conscious of what they are taking into their bodies.

India has also picked up this trend towards clean label and natural products. Clean label snacks have grown from 11% of total snack launches in 2017 to 19% in 2021². The Indian market's growth has been one of the highest in the countries in the APAC region and is being driven by the consumers' inclination towards health-oriented sustainable products.

for maintaining the highest benchmarks in product formulation, product labelling, quality control, and packaging. The brand aims to create a more stringent and standardized set of guidelines for the clean nutrition market in India.



Case study

Slurrp Farm is a kids focused health food brand, making food products from ingredients like millets, ragi, jowar, bajra, etc. that have lots of essential micronutrients. The company has grown from revenue of INR 6 Mn (FY18) to c.INR 200 Mn (FY22). (Valued INR 3.3 Bn: Sep-22)

We Make Slurrp Farm Food With
Ancient Whole Grain Millets and Zero
Junk, Making Little Tummies Happy!



Case study

Oziva has received the Purity Award and Pesticide Free certification by the US-based Clean Label Project



Global Case Study

Zarbee's Naturals produces a line of non-drug remedies that rely on natural ingredients. These products are appealing for consumers who want symptom relief but wish to avoid the side effects (and dangers to young children) of typical over-the-counter (OTC) cough and cold medications. In addition, Zarbee's Naturals has a variety of other products for skin care, immunity, sleep support, etc. The company recorded a revenue of USD 60 Mn+ in CY21



Global trends through the Indian lens



In India, Ayurveda and herbal remedies are fast regaining popularity as a response to modern health issues. This shift towards natural and organic products has led to changes in the industry, with more traditional formulations being introduced. Government initiatives such as the AYUSH program have also supported this trend. Large FMCG companies such as HUL are launching natural/Ayurvedic variants of their products. For example, Tresemme Botanique and Clinic Plus Ayurveda by HUL and Saffola Immuniveda by Marico.



Case study

Kapiva is a player in the Ayurveda market that has successfully targeted the younger, affluent millennial demographic by focusing on the intersection of Ayurveda, food, and tradition. Their product line consists of serums, oils, weight loss products, skin care products etc. Since FY17, the company's revenue has grown from INR 11 Mn to INR 624 Mn in FY22, with a CAGR of 90%+. (Valued INR 4.5 Bn: Nov-22)



Case study

The Ayurveda Experience is a new age company that sells products based on knowledge originating from Ayurveda for face, body, health, hair care, and nutritional supplements for global markets. In FY17, the company had INR 157 Mn revenue, which grew to INR 1,420 Mn in FY22, with a 3-year CAGR of 30%+.

02. Powering up with Plants

Plant-based diets and their associated benefits have gained significant momentum across the world, supported by campaigns like Veganuary. Over 60% of consumers surveyed globally already buy or are more likely to buy plant-based products compared to two years ago, and 65% would pay more for such products¹. In addition, 45% of supplement users say that 'plant-based' is an important factor in their decision to purchase dietary supplements, while 'vegan/vegetarian/no-animal-product' claims are important to 40% of consumers¹.

Plant-based products cater for intolerances by being lactose-free, for example. They also provide strong

antioxidant, anti-inflammatory, and oxygenating properties. Plant-based gym supplements are said to be better in performance terms, providing high functionality from mixing different protein sources and higher levels of fiber than products with dairy ingredients.

Moreover, increased awareness regarding animal welfare and environmental sustainability are contributing to the popularity of plant-based products. As more people adopt vegetarian and vegan diets, the Indian plant-based protein market is expected to grow at a compound annual growth rate of 18.6% from 2020 to 2027².



Plant based supplements will continue to grow in India

Aarti Gill, Founder – Oziva



Global trends through the Indian lens

03. Solutions outside of capsules

The Indian nutrition market has undergone a significant transformation over the past few years. Consumers now have access to a diverse range of nutrition products beyond the traditional protein powders and vitamin capsules that have long defined the industry. This shift reflects a broader trend of Indian consumers moving from basic to specialized foods, with a growing focus on premiumization, fortification, and responsible consumption.

In line with this, consumers are now turning towards more unconventional and "fun" form factors of consumption such as effervescent tablets, meltz, and gummies. These novel formats provide an alternative to the traditional pill form and offer a more enjoyable experience for consumers.



Case study

Power Gummies has differentiated itself by launching essential micronutrients in a chewable gummy format. Their high-quality and effective products meet the demands of urban millennials, such as weight management and healthy hair.

The company has seen significant growth, starting from INR 10 Mn in FY19 to INR 143 Mn in FY22. (Valued INR 1.4 Bn: Jan-22)



Consumers are exploring categories such as beverages and yogurts to get their daily dose of protective nourishment. In the United States, "immunity tea" is among the top searched terms related to immunity. The sales of beverages that support the immune system health are growing at 46% year-over-year.



Case study

Fast & Up is a pioneer in the space of effervescent nutrition. Effervescent products are easy to use and quickly absorbed, making them a great option for people who are looking for a convenient and effective way to improve their health.

The company's revenue has grown from INR 21 Mn (FY18) to INR 465 Mn (FY22). (Valued at INR 2.9 Bn in Feb-22)



Sales of beverages supporting immune system health

46%
YoY
growth



Global trends through the Indian lens

04. Ingredient Based Search and Consumption

Consumers are increasingly turning towards specific ingredient consumption instead of broad-based multi-vitamins. One of the reasons behind this trend is the growing interest in personalization and customization of health and wellness routines. By consuming specific ingredients, consumers can tailor their health routines to their individual needs and preferences.

Another reason for this shift is the increased awareness of the benefits of specific nutrients. As consumers become more health-conscious, they are researching and learning about the specific nutrients that can help support their health goals. This has led to a rise in demand for supplements that target specific health concerns such as low immunity, bone health, and cognitive function. Advancements in technology have made it easier for consumers to identify and access specific ingredients. With access to informative platforms, exposure to influencers, etc., consumers can easily research and purchase supplements containing specific nutrients.



Collagen

Collagen, a protein responsible for making tissues strong and able to withstand stretching, has experienced significant growth and expansion potential in recent years. Initially found mainly in beauty care products like cosmetics, collagen can now be found in over 97 categories, with strong growth in food categories like nutrition bars. This rapid expansion can be attributed to the increasing awareness of the health benefits associated with collagen consumption, including improved skin, hair, and joint health.



Biotin

Biotin is a water-soluble vitamin that has become increasingly popular in recent years. It plays a key role in supporting the health of various bodily functions, including the skin, metabolism, and cells. However, it is the vitamin's role in improving hair health that has been a significant driver in the growing biotin market. Research has shown that biotin can help improve hair health by promoting hair growth, increasing hair thickness, and reducing hair loss. Additionally, biotin supplements are readily available and easy to consume, making it a convenient option for those looking to support their hair health.

Few companies offering preventive healthcare services

HEALTHKART

OZIVA
be a better you

PLIX

FAST&UP

WELLBEING
NUTRITION

NUTROVA
SIMPLIFYING GOOD HEALTH



In developed markets, 70–80% consumers prefer to pay a premium for a branded ingredient in a formulation or food product. That is a trend that is going to replicate in India as well.

Sanjaya Mariwala,
Founder & MD –
OmniActive



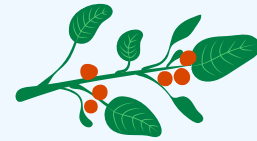
Global trends through the Indian lens



Curcumin/ Turmeric

India has been an old proponent of turmeric and it has been consumed for its flavor and health benefits for thousands of years. More recently, herbalists have discovered that curcumin is a chief active constituent in turmeric, having a variety of benefits such as anti-inflammatory and antioxidant actions. The demand for curcumin has grown significantly making room for many different forms of the ingredient.

Few companies offering curcumin products



Ashwagandha

The roots and fruit of ashwagandha have been used for medicinal purposes since a very long time and are an important part of Ayurvedic medicine. The herb is used to help decrease stress, reduce swelling, lower blood pressure, and stimulate the immune system.

Few companies offering Ashwagandha products



People want to consume food products for the inherent goodness that the ingredients have. And they want to learn more about these ingredients.

Prashant Peres, MD South Asia – Kellogg's



05. Data, Tech, AI and Personalization

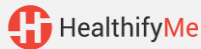
Millennials and Gen Z are driving momentum towards lifestyles that prioritize product transparency, sustainability, and eco-living. At the same time, Boomers are breaking generational norms by adopting new digital habits and showing an interest in "aging in place" to maintain independence at home.

A new wave of consumers is emerging who digitally track and manage their health by capturing biometrics on everything from exercise to sleep to medication consumption. Quantified-self tools are starting to connect with other home devices, such as smart speakers,

e-textiles, smart toothbrushes, and refrigerators.

In the United States, the United Kingdom, and Germany, personalization has become a top priority for more than 88% of consumers, with the same level of importance as it was two or three years ago¹. Over 75% of supplement users are interested in personalized supplements, and 60% of them would be willing to pay a premium for them. Additionally, the share of consumers who use mobile apps to achieve health and fitness goals has increased from 50% before the COVID-19 outbreak to 75% in June 2020².

Global trends through the Indian lens



Case study

HealthifyMe has developed an AI-powered nutritionist called Ria to provide smooth guidance to its users via the app. This tool enables the tracking of various health goals, including monitoring calorie intake and exercise routine. Over the years, the company has grown significantly, expanding from INR 42 Mn in FY17 to INR 1,864 Mn in FY22. (Valued at INR 6.5 Bn in Oct-22)



Case study

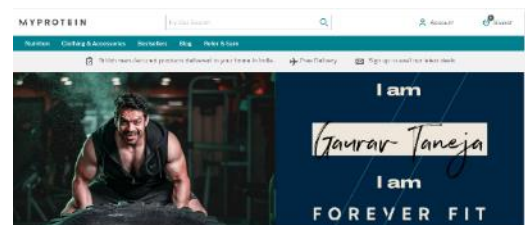
DNA diets, which offer personalized nutrition recommendations based on an individual's genetic makeup, are gaining popularity among high-end fitness enthusiasts. Startups like **MapMyGenome** offer genetic testing services to help clients make lifestyle changes, including modifications to their diets and exercise routines, based on their DNA findings. MapMyGenome has experienced rapid growth, with revenues increasing from INR 83 Mn in FY20 to INR 1,137 Mn in FY22.

06. The Rise of Influencers

Influencers have become a crucial part of the wellness market and have played a significant role in connecting traditional companies with consumers. Millennials and GenZ are particularly influenced by social media influencers, and this trend is observed not only in China and Brazil but also in the US, Europe, and Japan. A survey by McKinsey showed that over 60% of consumers consider purchasing products recommended by their favorite influencers.

Companies are also leveraging social media to not only reach consumers directly but also raise awareness around wellness. By collaborating with influencers, companies can effectively communicate with their target audience and gain valuable insights into their preferences and behavior.

The role of influencers in the wellness market is set to grow even more prominent in the future, as consumers increasingly look for personalized recommendations from trusted sources.



Gaurav Taneja



Shrma Rai



Surabhi and Ahaana



Ankita Sahni



Gursakhi Lugani



Social Media has broken the TV barrier for small brands and helped their story reach millions

Ahana Gautam, Founder & CEO – Open Secret



Myth vs. Reality



The 'Indian' myths vs. Reality (1/2)

01. Indians won't pay a premium for better products !!!



There is a common myth that Indians are unwilling to pay more for better quality ingredients in their food and other consumables. However, this perception is changing rapidly, especially in the context of the growing awareness around health and wellness. As Indians become more health-conscious, they are willing to spend more on food and beverages that are made from high-quality ingredients and are seen as more nutritious and beneficial for their well-being.

Indian consumers are willing to pay up to 80% more for products that are perceived to be healthier¹. This indicates a significant shift in consumer preferences, with a growing demand for healthier, more wholesome food options.

Another study revealed that Indian consumers are among the most health-conscious in the world, with 40% of respondents saying that they are willing to pay more for healthier and more nutritious food products, which is higher than their global counterparts at 29%². The study also found that consumers are increasingly looking for food and beverage products that are free from artificial ingredients, preservatives, and other harmful additives.

This trend is also reflected in the growth of the health focused F&B market in India, which is expected to reach USD 30 Bn by 2026 (at a 20% CAGR)³. The report cites the rising awareness about the health benefits of organic foods, along with increasing disposable incomes and changing consumer preferences, as key drivers of this growth.

02. Tier 1 cities are the only market for consumer wellness products !!!



It is a common misconception that consumer wellness products can only be sold in metro cities, with tier 2 and tier 3 markets being irrelevant. As the market for consumer health and wellness products grows, tier 2 and tier 3 cities in India are proving to be major opportunities as well. One of the key reasons for the growth of consumer health and wellness products in tier 2 and tier 3 cities is the increasing awareness and importance of health and fitness among consumers. As people become more health-conscious and willing to invest in their well-being, the demand for products such as vitamins, supplements, and organic foods is on the rise.

Moreover, with the rapid urbanization and modernization of tier 2 and tier 3 cities in India, consumers in these markets have greater exposure to global trends and products. The growth of e-commerce has also played a significant role in the expansion of the consumer health and wellness market in tier 2 and tier 3 cities.

03. Efficacy is more important than taste !!!



One of the prevailing myths about the nutrition industry is that taste is not important when it comes to health and nutrition. However, this perception is changing as more consumers are looking for products that not only offer health benefits but also taste great. Taste is now the most important factor in determining choices for many people. According to an IFIC survey, taste ranked higher than price, health benefits, and convenience in influencing choices⁴.

Manufacturers are recognizing the importance of taste and are investing in developing products that are not only healthy but also delicious. Many companies are using natural ingredients and flavors to

The 'Indian' myths vs. Reality (2/2)

enhance the taste of their products. For example, brands are using plant-based ingredients to create vegan and gluten-free options that are both healthy and tasty. Additionally, many nutrition bars and drinks are being made with real fruits and nuts, providing both flavor and nutrition. Many food manufacturers are developing tastier kid-friendly versions of healthy foods, such as vegetable-based pasta and fruit-flavored yogurt.

As consumers become more health-conscious, they are demanding products that are both nutritious and tasty, and manufacturers who can deliver on both fronts are likely to see continued growth in the consumer health and wellness market.



When we put a product out there it has got to taste good. It doesn't matter if we are more nourishing or nutritional if people can't stick to the product after trying it

Prashant Peres, MD South Asia – Kellogg's



Companies need to continuously strive to make products healthier without compromising on taste

Sameer Maheshwari, Founder & CEO – HealthKart



04. Health and Wellness is all about strict and restrictive diets !!!



There is another myth that health and wellness are solely about restrictive diets and deprivation. In fact, restrictive diets are today widely associated with an increased risk of developing eating disorders, nutritional deficiencies, and a disrupted relationship with food. Additionally, health and wellness extend beyond diet and consist of regular physical activity, stress management, quality sleep, and emotional well-being.

In response to the evolving understanding of health and wellness, companies today are recognizing the demand for healthier options that align with consumers' desire for balance and enjoyment in their diets. As this myth is debunked, there is a growing market for healthier versions of traditionally indulgent or junk foods.

Food companies are innovating and reformulating their products to offer healthier alternatives. They are incorporating better ingredients, reducing added sugars, using healthier oils, and increasing the nutritional value of their offerings.



We are not changing food habits. Consumers want to eat what they want to eat. We are in the business of un-junking that process and providing them with a guilt free version of what they want

Ahana Gautam, Founder & CEO – Open Secret



M&A Deals



Global M&A Deals and Investments

The consumer health industry has shifted its focus from OTC megabrands to prevention products such as vitamins and dietary supplements and sports nutrition. This shift has been observed since 2016 and reflects the divergent growth patterns of these products. Between 2012–2019, the prevention categories of vitamins and dietary supplements, sports nutrition, and weight management and wellbeing grew at a CAGR of 6%, compared to 4% CAGR for OTC products. The distinction between the growth of these products sharpened during the COVID-19 pandemic, with the former basket of goods maintaining growth at a CAGR of 6%, while growth in OTC drugs dropped to a CAGR of just 2%¹.

In recent years, the leading acquired brands in the consumer health industry have been large players in sports nutrition, meal replacement, and collagen and protein supplements.

During the COVID-19 pandemic, individual OTC categories such as cough and cold remedies were undercut by restrictions on movement and gatherings, while sales of vitamins and dietary supplements surged due to the intense focus on immunity and healthy living. In 2021, many categories, especially sports nutrition, saw rebounds, reflecting the increasing opportunities for global consumers to return to pre-COVID-19 lifestyles such as working out at gyms, which were put on hold at the height of the pandemic.

Looking forward, future growth in the consumer health industry is expected to be broadly shared across different product categories. Dietary supplements and sports nutrition are set to continue to lead the pack as consumers continue to demand solutions for lifestyle concerns such as mental health/stress, focus/cognition, energy, digestion, and women's health.

 Acquired by  USD 114 Mn 2022	 Acquired by  Undisclosed 2022	 Acquired by  USD 1 Bn 2021	 Investment by TEMASEK CPP Investments USD 350 Mn 2021	 Acquired by  USD 5.7 Bn 2021
 Investment by  USD 200 Mn 2020	 Acquired by  USD 5 Bn 2020	 Acquired by  Undisclosed 2020	 Acquired by  USD 750 Mn 2019	 Acquired by  USD 1 Bn 2019
 Acquired by  USD 4.2 Bn 2018	 Acquired by  USD 2.3 Bn 2018	 Acquired by  USD 825 Mn 2018	Consumer healthcare JV   Acquired by  USD 750 Mn 2018	 Acquired by  USD 1.6 Bn 2017

Indian M&A Deals and Investments

India's health and wellness consumer space has witnessed a surge in investments and deal activity, reflecting the country's growing focus on holistic well-being and preventive healthcare. Investors and businesses are capitalizing on this opportunity, leading to significant advancement and transformation in the sector.

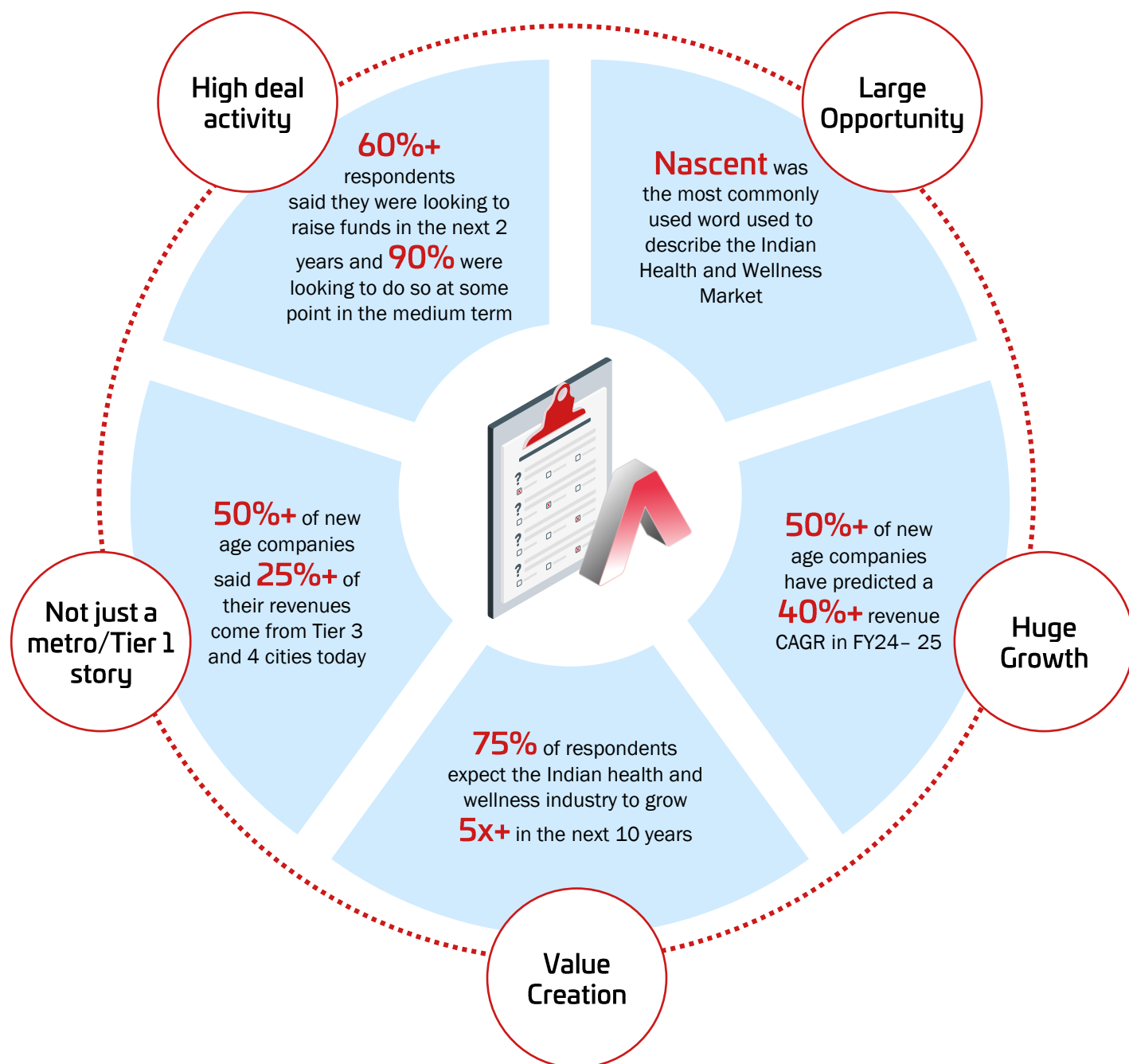
 Acquired by  Hindustan Unilever Limited 2022	 Investment by  A91 Partners TEMASEK Kae Capital 2022	 Investment by  SEQUOIA matrix PARTNERS 2022	 Investment by  Lightbox Kae Capital 2022	 Investment by  alkemi DSG 2022
 Investment by  CC alteria capital OrbiMed vertex 3ONE4 CAPITAL TRIFECTA CAPITAL 2022	 Investment by  DSG GUNICORNS 2022	 Investment by  TRIFECTA CAPITAL firesideventures 2022	 Investment by  matrix PARTNERS INDIA ANANTA SIXTH sense 2022	 Acquired by  marico 2022
 Investment by  MOTILAL OSWAL 2022	 Acquired by  Hindustan Unilever Limited 2022	 Investment by  GUILD / Venture Further RPSG CAPITAL VENTURES 2021	 Investment by Morgan Stanley 2021	 Nutraceutical business Investment by  KEDAARA 2021
 Acquired by  TATA CONSUMER PRODUCTS 2021	 Acquired by  Hindustan Unilever Limited 2020	 Investment by  Zydus Wellness 2019		

We believe this is the decade for Health and Wellness in India



A peek into the Future

We conducted a survey with leading new age companies asking them about their thoughts on the Consumer Health and Wellness Market in India and its future potential. Here are some of our key insights



This indeed is the decade for Health and Wellness in India



The Indian consumer health and wellness market is poised for explosive growth, with new products being launched and existing products evolving into healthier versions. This growth is being driven by factors such as rising healthcare costs, increasing awareness, and changing consumer preferences, which are further fueled by India's adoption of western culture and evolving consumer education.

The market's immense size, coupled with the all-pervasive need for health and wellness across socioeconomic strata, presents a huge opportunity for companies looking to capitalize on this trend. Disruptive innovation will enable price reduction and increase affordability for all Indians.

For companies to succeed in this rapidly evolving market, they will need to stay ahead in innovation, offer high-quality products and services at competitive prices, and educate consumers about the importance of Health and Wellness.

The health and wellness segment is poised to explode in India and the market is expected to witness significant value creation and deal activity over the next decade.



By harnessing local manufacturing and innovation, India has the potential to become the consumer wellness capital of the world

Sanjiv Mehta, CEO & MD – Hindustan Unilever



The tipping point for consumer health as a category has not been reached yet. We will see a lot more innovations driving category adoption in the next 5-10 years

Aarti Gill, Founder – Oziva



This market in India is truly set to grow. It is a huge huge opportunity. In 10 years, it will still remain extremely exciting and in the early stages of development

Anuj Rastogi, COO – ITC



Consumer Health and Wellness Conclave 2023



Kaushal Aggarwal (Opening Address), Co-Founder and CEO, Avendus



Sanjiv Mehta (Keynote Speaker), CEO & Managing Director, HUL



Kaushal Aggarwal, Avendus presenting a memento to Sanjiv Mehta, HUL



Sanjaya Mariwala, OmniActive Health Technologies in conversation with Narayanan K. S.



60+ guests including large FMCG players, new age companies, PEs and VCs.

Consumer Health and Wellness Conclave 2023



Panel I - (From L-R) Tarun Arora, Zydus Wellness; Prashant Peres, Kellogg's; Anuj Rustagi, ITC Ltd.; Sanjaya Mariwala, OmniActive Health Technologies. Hosted by - Saloni Jain, Aventus Capital



Panel II - (From L-R) Sameer Maheshwari, HealthKart; Aarti Gill, Oziva; Ameve Sharma, Kapiva; Ahana Gautam, Open Secret. Hosted by - Prasshanth Hari, Aventus Capital

Consumer Health and Wellness Conclave 2023



Anshul Agarwal (Closing Remarks), MD and Co-head, Consumer, FIG & Business Services, Avendus Capital



Team Avendus



Contact us



Abha Agarwal

Managing Director, Co-head,
Consumer & FS
Mobile: +91 99676 07222
abha.agarwal@avendus.com



Anshul Agarwal

Managing Director, Co-head,
Consumer & FS
Mobile: +91 98201 63710
anshul.agarwal@avendus.com



Anshul Gupta

Managing Director,
Healthcare
Mobile: +91 98201 82200
anshul.gupta@avendus.com



Saloni Jain

Director, Consumer & FS
Mobile: +91 98204 53522
saloni.jain@avendus.com



Prasshanth Hari

Director, Healthcare
Mobile: +91 77383 55605
prashhanth.hari@avendus.com



Shomil Pant

Director, Healthcare
Mobile: +91 99300 79750
shomil.pant@avendus.com



Rishabh D. Jain

Associate Vice-President, Consumer & FS
Mobile: +91 76669 55476
rishabh.jain@avendus.com



M. Ashhar Mohiuddin

Associate, Consumer & FS
Mobile: +91 98481 96951
ashhar.mohiuddin@avendus.com



Disclaimer

This document is being furnished to you by Avendus Capital Private Limited for itself and its affiliates strictly on a confidential basis. Spark Institutional Equities Private Limited, SEBI registered broker-dealer & Research Analyst, is an affiliate of ACPL and is engaged with ACPL on a non-exclusive business partnership for public market business. Any reference to “research”, “research report” or other research related terms in this document refers to research capability and research team of one of our partners and any engagement with such research team shall be subject to terms and conditions agreed between ACPL and its partner. All third-party logos / icons referenced by the Company remain the property of their respective owners solely. Any such reference herein by the Company is only to identify the relevant entity / organisation and shall be considered honest and fair use under the IP laws

The document is for informational purposes only and should not be regarded as an offer to sell, or offer for subscription, or as a solicitation of an offer to buy the securities or other investments mentioned in it. This information profile has been provided to its recipient upon the express understanding that the information contained herein, or made available in connection with any further investigation, is strictly confidential and is intended for the exclusive use of its recipient. It shall not be photocopied, reproduced and/or distributed to others at any time without prior written consent.

This document is neither a prospectus nor an invitation to subscribe to securities or other investments. Nothing in this document is intended to constitute legal, tax, securities or investment advice, or opinion regarding the appropriateness of any investment, or a solicitation for any product or service. The information herein is subject to change without notice. Avendus Capital Private Limited does not represent that any information, including any third party information, is accurate or complete and it should not be relied upon without proper investigation on the part of the investor/s.

Neither Avendus Capital Private Limited nor its affiliates nor any of its officers or employees accept any liability whatsoever for any direct or consequential loss arising from any use of this publication or its contents. The recipient of the material should rely on their own investigations and take their own professional advice. While we endeavor to update on a reasonable basis the information discussed in this material, there may be regulatory, compliance, or other reasons that prevent us from doing so.

Investments in securities/equity related instruments are subject to market risk. These risks could be security specific or market specific and arising from company, industry, political, economic (both domestic and global), etc., factors. Investor/s should carefully read all disclosure documents before investing and shall not make Avendus Capital Private Limited and/or its associates/employees liable for any risks/losses pertaining to any product/scheme offered by them from time to time.

Past performance does not indicate the future performance of any current or future fund or strategies advised or managed by Avendus Capital Private Limited or its affiliates.

Distribution of this document in some jurisdictions may be restricted or prohibited by law and regulation, and accordingly recipients of this document represent that they are able to receive it without contravention of any unfulfilled registration requirements or any other legal or regulatory restrictions. Recipients of this document in such jurisdiction should fully inform themselves about and observe all applicable legal or regulatory requirements and Avendus Capital Private Limited and its affiliates, directors, shareholders, managers, officers, employees, agents and advisors, do not accept any liability to any person in relation thereto.

For the purposes of distribution within the United Kingdom, this communication is exempt from the financial promotion restriction in Section 21 of the Financial Services and Markets Act, 2000 relating to the communication of an invitation or inducement to engage in investment activity on the grounds that it is made to those persons falling within the following Articles of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005, as amended: Article 19 (Investment Professionals) and Article 49 (High Net Worth Companies). Any investment to which this communication relates is only available to investment professionals and high net worth companies.

If you have received this document and you are not the person for whom it is intended, you should not rely on this communication or act on it.

OneAvendus^

INVESTMENT
BANKING

INSTITUTIONAL
EQUITIES

WEALTH
MANAGEMENT

ASSET
MANAGEMENT

CREDIT
SOLUTIONS

www.avendus.com



#NextIsTheOnlyLevel